

THE “*STANDARD*” CASH FLOW STATEMENT: IAS no. 7

*(amendments effective for annual reporting periods
beginning on or after 1 January 2026)*

Chapter 9



- ☐ Cash and cash equivalents (slides 3-4)
- ☐ Presentation of the statement of cash flows: operating, investing and financing activities (slide 5)
- ☐ Operating Activities: direct and indirect method, starting from the Operating Profit (slide 6)
- ☐ Cash flow for taxes on income (slide 7)
- ☐ Example of cash flow statement (slides 8-9)
- ☐ Investments in subsidiaries, associates and joint ventures (slides 10-16)
- ☐ Discontinued operations and Non-Cash transactions (slide 17)
- ☐ Cash flows and foreign currencies (slides 18-20)
- ☐ Changes in liabilities arising from financing activities (slide 21)
- ☐ Disclosure (slide 22)
- ☐ A comprehensive example (slides 23-28)



Cash comprises cash on hand and demand deposits.

Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

- ❑ For an investment to qualify as a cash equivalent it must be readily convertible to a known amount of cash and be subject to an insignificant risk of changes in value.
- ❑ Therefore, an investment normally qualifies as a cash equivalent only when it has a short maturity of, say, three months or less from the date of acquisition.
- ❑ Equity investments are excluded from cash equivalents unless they are, in substance, cash equivalents, for example in the case of preferred shares acquired within a short period of their maturity and with a specified redemption date.

Note: "*Short-term marketable securities*", i.e. bonds and shares (although they can be readily settled), are usually classified by companies outside the category of *cash and cash equivalents* and are classified as *financial assets (at Fair Value through Profit and Loss)*

Therefore: Cash equivalents $\neq$ "*Short-term liquidity*" (Cash + Short-term securities)

Bank borrowings are generally considered to be financing activities.

However, in some countries, **bank overdrafts** which are repayable on demand form an integral part of an entity's cash management. In these circumstances, bank overdrafts are included as a component of cash and cash equivalents. A characteristic of such banking arrangements is that the bank balance often fluctuates from being positive to overdrawn.

Note: Although bank accounts with a negative balance are typically reformulated by financial analysts as financial debt, under IAS 7 they directly reduce the amount of *cash and cash equivalents*.

If the analyst calculates the Net Financial Position (or Net Financial Debt), the full amount of *cash and cash equivalents* is deducted from the gross amount of financial liabilities; consequently, no other adjustment are needed for bank overdrafts.

Sections	Examples
Cash flows from operating activities are primarily derived from the principal revenue-producing activities of the entity. Therefore, they generally result from the transactions and other events that enter into the determination of profit or loss.	Cash flows arising from the collection of operating revenues and the payment of operating expenses: this is and <i>operating cash flow</i>, related to the <i>operating income, net of taxes</i> (it includes cash payments or refunds of income taxes unless they can be specifically identified with financing and investing activities)
Cash flows arising from investing activities represent the extent to which expenditures have been made for resources intended to generate future income and cash flows. Only expenditures that result in a recognised asset in the statement of financial position are eligible for classification as investing activities.	Cash flows arising from: ➤ the acquisition/disposal of tangibles, intangibles, equity and debt instruments (financial assets), ➤ Loans made and repaid to other parties (financial asset) ➤ interest and dividend income
Cash flows arising from financing activities are related to the transactions with the providers of capital and borrowings to the entity	Cash flows arising from: ➤ issuance and acquisition (buy-back) of entity's shares ➤ Issuance and repayment of financial liabilities ➤ Payment of dividends ➤ Payment of interest expenses



According to IAS 7 an entity shall report cash flows from operating activities using either:

- (a) the direct method, whereby major classes of gross cash receipts and gross cash payments are disclosed; or
- (b) the indirect method, whereby operating profit or loss is adjusted for:
 - i. the effects of transactions of a non-cash nature (NON MONETARY ITEMS);
 - ii. any deferrals or accruals of past or future operating cash receipts or payments; (WORKING CAPITAL ITEMS)
 - iii. income or expenses classified in the operating category in the statement of profit or loss for which the associated cash flows are classified as cash flows from either investing or financing activities (EX. GAINS/LOSSES FROM DISPOSAL OF ASSETS); and
 - iv. cash flows from operating activities for which the associated income or expenses are not classified in the operating category of the statement of profit or loss (FINANCIAL INCOME AND EXPENSES).

Even if entities are encouraged to report cash flows from operating activities using the direct method, approximately 98% of worldwide public companies use the indirect method, whereas the direct method is mostly adopted by Australian companies listed on the Australian Securities Exchange (ASX) since Australia's local accounting standards historically mandated or heavily institutionalized it.

Cash flows arising from taxes on income shall be separately presented and shall be classified as cash flows from operating activities unless they can be specifically identified with financing and investing activities.

Taxes on income arise on transactions that give rise to cash flows that are classified as operating, investing or financing activities in a statement of cash flows.

While tax expense may be readily identifiable with investing or financing activities, the related tax cash flows are often impracticable to identify and may arise in a different period from the cash flows of the underlying transaction.
Therefore, **taxes paid are usually classified as cash flows from operating activities.**

However, when it is practicable to identify the tax cash flow with an individual transaction that gives rise to cash flows that are classified as investing or financing activities the tax cash flow is classified as an investing or financing activity as appropriate.

When tax cash flows are allocated over more than one class of activity, the total amount of taxes paid is disclosed.

Starting point: Operating Profit
(instead of Net Income)

Adjustment: non-monetary costs and revenues

Monetary Operating Profit (EBITDA)

Adjustment: change in assets and liabilities related to the Monetary Operating Profit

Operating Cash Flow (before taxes)

Full amount of income taxes paid

Operating Cash Flow (after taxes)

Cash flows from operating activities

Operating profit	3,290	
Adjustments for:		
Depreciation	350	
Amortisation	100	
Operating profit before depreciation and amortisation	3,740	
Increase in trade receivables	(500)	
Decrease in inventories	1,050	
Decrease in trade payables	(1,740)	
Cash from operating activities before income taxes	2,550	
Income taxes paid	(900)	
Net cash from operating activities		1,650

Cash flows from investing activities

Cash flows from the acquisition / disposal of subsidiaries are reported here

Cash flows from "monetary" financial income

Acquisition of Subsidiary X, net of cash acquired (Note A)	(550)	
Purchase of property, plant and equipment (Note B)	(350)	
Proceeds from sale of equipment	20	
Interest received	200	
Dividends received	200	
Net cash used in investing activities		(480)



Cash flows from “monetary”
financial expenses



Cash flows from financing activities

Proceeds from issue of share capital	250	
Proceeds from long-term borrowings	250	
Payment of lease liabilities	(90)	
Interest paid	(270)	
Dividends paid	(1,200)	
<i>Net cash used in financing activities</i>		<u>(1,060)</u>
Net increase in cash and cash equivalents		110



The aggregate cash flows arising from obtaining or losing control of subsidiaries or other businesses shall be presented separately and classified as investing activities.

An entity shall disclose, in aggregate, in respect of both obtaining and losing control of subsidiaries or other businesses during the period each of the following:

- (a) the **total consideration** paid or received;
- (b) the **portion of the consideration consisting of cash** and cash equivalents;
- (c) the **amount of cash and cash equivalents in the subsidiaries or other businesses over which control is obtained or lost**; and
- (d) the **amount of the assets and liabilities other than cash or cash equivalents in the subsidiaries or other businesses over which control is obtained or lost**, summarised by each major category.

EXAMPLE:

On September 30, a 70% interest in a subsidiary is acquired. The subsidiary's net assets have a total fair value (100%) of 15,000. The purchase price includes goodwill of 6,000. The acquisition is financed 50% in cash and 50% through the issuance of shares to the shareholders of the acquiree. The acquired assets include cash and cash equivalents of 500 and debt securities measured at FVTOCI (Fair Value Through Other Comprehensive Income) of 1,500.

The acquirer must report the following cash flow: $(-15.000 \times 70\% - 6.000) \times 50\% + 500 = -7.750$.

Note: These rules are essential to prevent manipulation of the cash flow statement and related cash flows. This means that **all changes in assets, other than liquidity, due to the acquisition/loss of control are excluded from the cash flow statement**. Let's see why with an example in the next two slides.

EXAMPLE: A FRAUDULENT ACQUISITION ON 31ST/DEC./X (1)

NOW THEY
LIKE IT!

The CFO prepares a draft cash flow statement on December 30, but he is not satisfied with it. So, he makes a few phone calls and eventually finds an opportunity to acquire a “bad” company the following day.

Cash Flow Statement, 30/Dec./X

Cash Flow from Operating Activities	-200
Cash Flow from Investing Activities	+100
Cash Flow from Financing Activities	+50
Total Cash Flow	-50

A day later...

Cash Flow Statement, 31/12/X

Cash Flow from Operating Activities (2)	+400
Cash Flow from Investing Activities (3)	-500
Cash flow from Financing Activities	+50
Total Cash Flow	-50

On 31st of December, the company acquires the full capital of a subsidiary that is very close to bankruptcy; the company pays a price of “zero”, only with the objective of manipulating the cash flow statement; the subsidiary presents the following assets/liabilities:

ASSETS		LIABILITIES AND EQUITY (1)	
Plants	600	Accounts payable	600

- (1) Assumption: subsidiary's Net Equity = 0 (close to bankruptcy);
- (2) Change of +600 in comparison with the cash flow at 30th of December: increase of Accounts payable from the consolidation of the subsidiary;
- (3) Change of -600 in comparison with the cash flow at 30th of December: increase of plants from the consolidation of the subsidiary.



Cash Flow Statement, 30/Dec./X

Cash Flow from Operating Activities	-200
Cash Flow from Investing Activities	+100
Cash Flow from Financing Activities	+50
Total Cash Flow	-50

NO

~~Cash Flow Statement, 31/12/X~~

Cash Flow from Operating Activities (2)	+400
Cash Flow from Investing Activities (3)	-500
Cash flow from Financing Activities	+50
Total Cash Flow	-50

YES

Cash Flow Statement, 31/12/X
IAS/IFRS compliant

Cash Flow from Operating Activities	-200
Cash Flow from Investing Activities, of which:	+100
➤ Purchase of subsidiaries	0
Cash Flow from Financing Activities	+50
Total Cash Flow	-50

According to IAS 7 the price of the acquisition paid in cash (net of the cash included in the balance sheet of the subsidiary) must be reported in the Investing Activities section (in this example is zero).

All the non cash items of the subsidiary (in this example PPE and A/P) have no effect on the cash flow statement (you don't see them at all).



What are consequences of these rules?

- ☐ **Consolidations of assets/liabilities following the acquisition of subsidiaries do not influence cash flows** (the Cash Flow Statement only reports “Acquisition of subsidiaries, net of cash acquired” into the Investing section)
- ☐ **De-Consolidations of assets/liabilities following the disposal of subsidiaries do not influence cash flows** (the Cash Flow Statement only reports “Sales of subsidiaries, net of cash disposed” into the Investing section)



Do not try to prepare a “IAS compliant” cash flow statement by using the consolidated income statement and balance sheet: non-cash assets/liabilities of purchased(sold) subsidiaries are included(excluded) into(from) the ending balance sheet accounts....

- ☐ **If you want to calculate the CAPEX amount using the cash flow statement, remember:**
 - ☐ only tangible/intangible assets that were “directly” purchased/sold are recorded as separate cash flow items in the Investing Activities section
 - ☐ tangible/intangible assets that are included into the price of purchased/sold subsidiaries are hidden into the two items:
 - Acquisition of subsidiaries, net of cash acquired
 - Sales of subsidiaries, net of cash disposed



	2025	2024
Purchase of intangible assets	(523)	(337)
Purchase of property, plant and equipment	(2,065)	(2,092)
Disposal of property, plant and equipment	329	984
Acquisition of subsidiaries and activities	(75,790)	-
Change in other financial assets	326	(930)
Cash flow from investing activities	(77,723)	(2,375)

On 30 April 2025, DSV acquired 100% of the global freight forwarding and contract logistics business DB Schenker (operated by Schenker Aktiengesellschaft and its affiliates) from Deutsche Bahn AG. Schenker was one of the world's leading transport and logistics providers with more than 85,000 employees. The company operated land, air and ocean transportation services and offered comprehensive logistics and global supply chain management solutions. In 2024, Schenker generated revenue of approximately DKK 143 billion (EUR 19.2 billion).

The consideration for Schenker was settled through an all-cash transaction of DKK 86,807 million. Please refer to Company Announcement no. 1154. The net cash outflow was DKK 75,595 million, with DKK 11,212 million in cash and cash equivalents acquired. There are no contingent consideration arrangements.

(DKKm)

Assets identified at fair value (provisional)	
Customer relationships	1,627
Other intangible assets	725
Right-of-use assets	8,642
Property, plant and equipment	17,827
Trade receivables	21,894
Contract assets	4,258
Inventories	40
Deferred tax assets	2,209
Other receivables	4,245
Cash and cash equivalents	11,212
Assets held for sale	1,320
Total assets	73,999
Liabilities identified at fair value (provisional)	
Lease liabilities	8,593
Borrowings	13,645
Provisions	8,108
Pensions and other post-employment benefit plans	2,044
Trade payables	11,621
Accrued cost of services	6,441
Deferred tax liabilities	617
Tax payables	1,987
Other payables	7,677
Liabilities directly associated with the assets held for sale	1,320
Total liabilities	62,053
Non-controlling interests share of the acquired net assets	245
Total net assets acquired	11,701
Fair value of total consideration transferred	86,807
Goodwill arising from the acquisition	75,106

86,807-11,212
=75,595

E. Ketz, *Free Cash Flow and Business Combinations*, The CPA Journal, November 2016

“What happens when a company acquires land, buildings, or other capital assets via a business combination? The cash flow statement presents all of the cash flows pertaining to the merger or acquisition in the cash flow from investing activities as one item.

For example, Merck displays its investment in Idenix on its 2014 cash flow statement as “Acquisition of Idenix Pharmaceuticals, Inc., net of cash acquired.” Many users unwittingly ignore what is packed into that line item when computing free cash flow. To obtain a more informative measure when calculating capital expenditures, users should include what is spent to acquire land, building, and other capital assets—even if obtained via a business combination.

For example, a user can read in Merck’s Note 4 that it spent \$3.2 billion to purchase R&D. Merck’s capital expenditures in 2014 include this \$3.2 disbursement, as well as payments made through its normal vendor channels.

Free cash flow is overestimated when one ignores capital expenditures made in a business acquisition and embraces only capital expenditures made in ordinary transactions. The form of the transaction is irrelevant to the analysis; expending resources to obtain a capital asset is always a capital expenditure. By including such capital expenditures in the analysis, the user obtains better measures of free cash flow.”

E. Ketz, *Free Cash Flow and Business Combinations*, The CPA Journal, November 2016

“some differences are much larger, as seen in 2012 for Johnson & Johnson and in 2010–2013 for Valeant. These changes are so large that the adjusted free cash flow number becomes negative.”

EXHIBIT 2

Free Cash Flows for Pharmaceutical Companies (dollars in millions)

	2010	2011	2012	2013	2014
Johnson & Johnson					
Net Income	\$13,334	\$9,672	\$10,853	\$13,831	\$16,323
Cash Flow from Operations	16,385	14,298	15,396	17,414	18,471
Capital Expenditures	2,384	2,893	2,934	3,595	3,714
Free Cash Flows	14,001	11,405	12,462	13,819	14,757
M&A Capital Expenditures	1,398	3,639	15,993	1,772	3,982
Adjusted Free Cash Flows	12,603	7,766	–3,531	12,047	10,775
Merck					
Net Income	\$982	\$6,392	\$6,299	\$4,517	\$11,934
Cash Flow from Operations	10,822	12,383	10,022	11,654	7,860
Capital Expenditures	1,700	1,700	2,000	1,500	1,300
Free Cash Flows	9,122	10,683	8,022	10,154	6,560
M&A Capital Expenditures	328	420	0	189	3,343
Adjusted Free Cash Flows	8,794	10,263	8,022	9,965	3,217
Pfizer					
Net Income	\$8,288	\$10,051	\$14,598	\$22,072	\$9,168
Cash Flow from Operations	11,454	20,240	16,746	17,684	16,883
Capital Expenditures	273	3,282	1,050	15	195
Free Cash Flows	11,181	16,958	15,696	17,669	16,688
M&A Capital Expenditures	500	362	1,219	0	459
Adjusted Free Cash Flows	10,681	16,596	14,477	17,669	16,229
Valeant					
Net Income	–\$208	\$156	–\$116	–\$866	\$914
Cash Flow from Operations	263	640	657	1,042	2,295
Capital Expenditures	17	386	181	185	278
Free Cash Flows	246	254	476	857	2,017
M&A Capital Expenditures	5,205	1,767	2,649	6,286	841
Adjusted Free Cash Flows	–4,959	–1,513	–2,173	–5,429	1,176
M&A=Mergers and Acquisitions					



According to IFRS 5 (*Non-current Assets Held for Sale and Discontinued Operations*) an entity shall present or disclose the **net cash flows attributable to the operating, investing and financing activities of discontinued operations**. This information may either be presented in the statement of cash flows or disclosed in the notes.

Investing and financing transactions that do not require the use of cash or cash equivalents shall be excluded from a statement of cash flows. Such transactions shall be disclosed elsewhere in the financial statements in a way that provides all the relevant information about these investing and financing activities.

Many investing and financing activities do not have a direct impact on current cash flows although they do affect the capital and asset structure of an entity.

The exclusion of non-cash transactions from the statement of cash flows is consistent with the objective of a statement of cash flows as these items do not involve cash flows in the current period.

Examples of non-cash transactions are:

- (a) the acquisition of assets either by assuming directly related liabilities or by means of a lease;
- (b) the acquisition of an entity by means of an equity issue; and
- (c) the conversion of debt to equity.

Cash flows arising from transactions in a foreign currency shall be recorded in an entity's functional currency by applying to the foreign currency amount the exchange rate between the functional currency and the foreign currency at the date of the cash flow.

Realized gains and losses arising from changes in foreign currency exchange rates affect the cash flow related to the collection of receivables and the payment of payables.

Unrealized gains and losses arising from changes in foreign currency exchange rates are not cash flows; so they must be eliminated from the cash flow statement: that occurs when we consider the change in A/R and A/P (that are influenced from exchange rate differences). Let's see an example:

A company only reports into the Income Statement sales to foreign customers: sales amount to 100 USD, recorded in Euro on 1st/December/X at an exchange rate of 0,8 (1 USD = 0,8 Euro). Accounts receivable will be collected on 31st/March/X+1.

On 31st/Dec/X Accounts receivable are measured at the "end of year" exchange rate, that is 0,9. The company records an increase in A/R of 10 (debit) and a foreign exchange gain of 10 (credit) [i.e. $100 \text{ USD} \times (0,9 - 0,8)$]

This is the Cash Flow Statement (in Euro):

+ Revenues	80
+ Unrealized Foreign Exchange Gain	10
= Net Income	90
+/- Non Monetary Costs/Revenues	0
-/+ Increase(decrease) in (foreign) A/R	-90
= Cash Flow from Operating Activities	0



The effect of **exchange rate changes on cash and cash equivalents held or due in a foreign currency** is reported in the statement of cash flows in order to reconcile cash and cash equivalents at the beginning and the end of the period. This amount is presented separately from cash flows from operating, investing and financing activities and includes the differences, if any, had those cash flows been reported at end of period exchange rates.

Example: At the beginning of the year a US company holds 1,000 EUR in cash; the exchange rate is 1 EUR = 1.20, so the USD equivalent is 1,200.

During the year the company does not add or withdraw any cash amount in EUR.

At the end of the year the exchange rate is 1 EUR = 1.10, so the USD equivalent is 1,100.

Is there any cash flow? No! This exchange loss is a noncash item and should be showed separately as a reconciliation item:

Cash and Cash Equivalents at the beginning of the year	XX
Net increase(decrease) in cash and cash equivalents (from operating, investing and financing activities)	XX
Effect of foreign exchange rate changes	-100
Cash and Cash Equivalents at the end of the year	XX



The **cash flows of a foreign subsidiary** shall be translated at the exchange rates between the functional currency and the foreign currency at the dates of the cash flows. Subsidiary statements of cash flows should be prepared in the subsidiary's functional currency and then translated to the presentational currency of the parent. Exchange differences arising on translation to the presentational currency are not cash flows and should be presented in the reconciliation from opening to closing cash in the consolidated statement of cash flow.

EXAMPLE: Subsidiary S has a functional currency of USD. The parent company P has a functional and presentational currency of EUR. Exchange rates (1 EUR = x USD) are: Opening rate 1,5; Average rate 1,4; Closing rate 1,3.

Cash Flow Statement of S				
	USD	EUR	Exchange rate	Calculation
Cash Flow from operating activities	100,000	71,429	at average rate	(100,000/1,4)
Cash Flow from investing activities	-60,000	-42,857	at average rate	(-60,000/1,4)
Cash Flow from financing activities	-10,000	-7,143	at average rate	(-10,000/1,4)
Total cash flows	30,000	21,429	at average rate	
Cash at the beginning of year	120,000	80,000	at opening rate	(120,000 / 1,5)
+/- Cash flow of the year	30,000	21,429	at average rate	see above
+/- Effect of foreign currency on opening cash		12,308		(120,000/1,3 - 120,000/1,5)
+/- Effect of foreign currency on total cash flows		2,198		(21,429/1,3 - 21,429/1,5)
= Cash at the end of year	150,000	115,385	at closing rate	

150,000 USD : 115,385 EUR = 1,30 (closing rate)



An entity shall provide disclosures that enable users of financial statements to evaluate **changes in liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes:**

- (a) changes from financing cash flows;
- (b) changes arising from obtaining or losing control of subsidiaries or other businesses;
- (c) the effect of changes in foreign exchange rates;
- (d) changes in fair values; and
- (e) other changes.

Companies usually provide a **reconciliation between the opening and closing balances in the statement of financial position for liabilities arising from financing activities.**

	20X1	Cash flows	Non-cash changes			20X2
			<i>Interest expenses</i>	<i>Acquisition</i>	<i>New leases</i>	
Long-term borrowings	1.040	250	-	200	-	1.490
Lease liabilities	-	(90)	-	-	900	810
Long-term debt	1.040	160	-	200	900	2.300
Interest payable	100	(270)	400	-	-	230
	1.140	(110)	400	200	900	2.530



An entity shall disclose the amount of **significant cash and cash equivalent balances held by the entity that are not available for use by the group** (example: cash balances held by a subsidiary that operates in a country where exchange controls or other legal restrictions apply when the balances are not available for general use by the parent or other subsidiaries).

Additional information are encouraged and may include:

- ☐ the amount of **undrawn borrowing facilities** that may be available for future operating activities and to settle capital commitments, indicating any restrictions on the use of these facilities;
- ☐ the aggregate amount of cash flows that represent **increases in operating capacity** separately from those cash flows that are **required to maintain operating capacity**; and
- ☐ the amount of the cash flows arising from the operating, investing and financing activities of each **reportable segment** (see IFRS 8 Operating Segments).

Consolidated statement of comprehensive income for the period ended 20X2

Sales	30.650
Cost of sales	(26.450)
Gross profit	4.200
Selling expenses	(600)
General and administrative expenses	(310)
Operating profit	3.290
Share of profit or loss of associates and joint ventures	50
Investment income	450
Foreign exchange loss	(40)
Profit before financing and income taxes	3.750
Interest expenses	(400)
Profit before income taxes	3.350
Income tax expense	(300)
Profit/total comprehensive income	3.050

The entity did not recognise any components of other comprehensive income in the period ended 20X2

NOTES FOR INCOME STATEMENT

- 1) depreciation on property, plant and equipment and amortization of intangible assets for the period amounted to 350 and 100 respectively;
- 2) Investment income includes :
 - 200 for interest income
 - 100 for interest on trade receivables
 - 200 for dividends income
 - (50) for a fair value loss on financial instruments
- 3) the foreign exchange loss is related to a bank account in a foreign currency;



Consolidated statement of financial position as at end of 20X2

	20X2	20X1
Assets		
Current assets		
Cash and cash equivalents	230	160
Trade and other receivables	1.900	1.200
Inventories	1.000	1.950
Non-current assets		
Investments in associates and joint ventures	500	450
Investments in other financial instruments	2.000	2.050
Property, plant and equipment	1.880	350
Intangible assets	400	500
Total assets	7.910	6.660
Liabilities		
Current liabilities		
Trade payables	250	1.890
Interest payable	230	100
Income taxes payable	400	1.000
Non-current liabilities		
Long-term debt	2.300	1.040
Total liabilities	3.180	4.030
Equity		
Share capital	1.500	1.250
Retained earnings	3.230	1.380
Total equity	4.730	2.630
Total liabilities and equity	7.910	6.660

NOTES FOR BALANCE SHEET

- all of the shares of a subsidiary were acquired for 590. The fair values of assets acquired and liabilities assumed were as follows:
 - Inventories 100
 - Trade and other receivables 100
 - Cash 40
 - Property, plant and equipment 650
 - Trade payables 100
 - Long-term debt 200
- 250 was raised from the issue of share capital and a further 250 was raised from long-term borrowings.
- interest expense was 400, of which 170 was paid during the period. Also, 100 relating to interest expense of the prior period was paid during the period.
- dividends paid were 1,200.
- during the period, the group acquired property, plant and equipment and right-of-use assets relating to property, plant and equipment with an aggregate cost of 1,250, of which 900 related to right-of-use assets. Cash payments of 350 were made to purchase property, plant and equipment.
- plant with original cost of 80 and accumulated depreciation of 60 was sold for 20.
- trade and other receivables as at the end of 20X2 include 100 of interest receivable.



<i>Operating Profit</i>	3.290
<i>Amortization</i>	100 Note 1) for I/S
<i>Depreciation</i>	350 Note 1) for I/S
Operating profit before depreciation and amortisation	3.740
<i>Overall change in trade receivables</i>	(700)
<i>Adjustment: acquisition of a subsidiary</i>	100 Note 1) for the B/S
<i>Adjustment: interest receivable (interest income)</i>	100 Note 2) for I/S and 7) for B/S
Increase in Trade Receivables	(500)
<i>Overall change in trade payables</i>	(1.640)
<i>Adjustment: acquisition of a subsidiary</i>	(100) Note 1) for the B/S
Decrease in trade payables	(1.740)
<i>Overall change in Inventory</i>	950
<i>Adjustment: acquisition of a subsidiary</i>	100 Note 1) for the B/S
Decrease in inventory	1.050
Income tax expense	(300)
Change of Tax payable	(600)
Income taxes paid	(900)
NET CASH FROM OPERATING ACTIVIES	1.650



<i>Total consideration for the acquisition</i>	(590)	Note 1) for the B/S
<i>Adjustment: non cash portion of the total consideration</i>	-	Note 1) for the B/S
<i>Adjustment: cash acquired</i>	<u>40</u>	Note 1) for the B/S
Acquisition of Subsidiary X, net of cash acquired	(550)	Note 1) for the B/S
 <i>Overall change in PPE</i>	 (1.530)	
<i>Adjustment: depreciation</i>	(350)	Note 1) for I/S
<i>Adjustment: acquisition of a subsidiary</i>	650	Note 1) for the B/S
<i>Adjustment: disposal</i>	(20)	Note 6) for the B/S
<i>Adjustment: right-of-use for leasing transaction</i>	<u>900</u>	Note 5) for the B/S
Purchase of property, plant and equipment	(350)	
 <i>Disposal of PPE</i>	 20	Note 6) for the B/S
<i>Gain (loss) from disposal</i>	<u>-</u>	
Proceeds from sale of equipment	20	
 <i>Share of profit or loss of associates and joint ventures</i>	 50	
<i>Adjustment: share of profit/loss of associates/joint ventures</i>	<u>(50)</u>	
Cash flow from associates and joint ventures	-	
 <i>Investment income</i>	 450	
<i>Adjustment: fair value loss on financial instruments</i>	50	Note 2) for I/S
<i>Adjustment: interest receivable (interest income)</i>	<u>(100)</u>	Note 2) for I/S and 7) for B/S
Interest and dividends received	400	
 NET CASH USED IN INVESTING ACTIVITIES	 <u>(480)</u>	

<i>Increase in Share Capital</i>	250	
<i>Change in receivables to shareholders</i>	<u>-</u>	
Proceeds from issue of share capital	250	Note 2) for the B/S
 <i>Overall change of Retained Earnings</i>	 1.850	
<i>Adjustment: Net income</i>	<u>(3.050)</u>	
Dividends received	(1.200)	
 <i>Overall change of long-term borrowings</i>	 1.260	
<i>Adjustment: acquisition</i>	(200)	Note 1) for the B/S
<i>Adjustment: right-of-use for leasing transaction</i>	(900)	Note 5) for the B/S
<i>Adjustment: payment of lease liabilities</i>	<u>90</u>	Missing information
Proceeds form long-term borrowings	250	Note 2) for the B/S
 Payment of lease liabilities	 <u>(90)</u>	 Missing information
 <i>Interest expenses</i>	 (400)	
<i>Change in Interest payable</i>	<u>130</u>	
Interest paid	(270)	
 NET CASH USED IN FINANCING ACTIVIES	 <u>(1.060)</u>	



Indirect method statement of cash flows ("standard")**Cash flows from operating activities**

Operating profit	3.290
Adjustments for:	
Depreciation	350
Amortisation	100
Operating profit before depreciation and amortisation	3.740
Increase in trade receivables	(500)
Decrease in inventories	1.050
Decrease in trade payables	(1.740)
Cash from operating activities before income taxes	2.550
Income taxes paid	(900)
<i>Net cash from operating activities</i>	<i>1.650</i>

Cash flows from investing activities

Acquisition of Subsidiary X, net of cash acquired (Note A)	(550)
Purchase of property, plant and equipment (Note B)	(350)
Proceeds from sale of equipment	20
Interest received	200
Dividends received	200
<i>Net cash used in investing activities</i>	<i>(480)</i>

Cash flows from financing activities

Proceeds from issue of share capital	250
Proceeds from long-term borrowings	250
Payment of lease liabilities	(90)
Interest paid	(270)
Dividends paid	(1.200)
<i>Net cash used in financing activities</i>	<i>(1.060)</i>

Net increase (decrease) in cash and cash equivalents **110**

Cash and cash equivalents at beginning of period (Note C)	160
Foreign exchange loss	(40)
Cash and cash equivalents at end of period (Note C)	230



Summary of the cash flow statement

Net cash from operating activities	1.650
Net cash used in investing activities	(480)
Net cash used in financing activities	(1.060)
Net increase in cash and cash equivalents	110

Reconciliation of cash and cash equivalents

Cash and cash equivalents at beginning of period	160
Net increase in cash and cash equivalents	110
Foreign exchange loss	(40) Note 3) for the I/S
Cash and cash equivalents at end of period	230

Reconciliation of liabilities arising from financing activities

	20X1	Cash flows	Non-cash changes			20X2
			<i>Interest expenses</i>	<i>Acquisition</i>	<i>New leases</i>	
Long-term borrowings	1.040	250	-	200	-	1.490
Lease liabilities	-	(90)	-	-	900	810
Long-term debt	1.040	160	-	200	900	2.300
Interest payable	100	(270)	400	-	-	230
	1.140	(110)	400	200	900	2.530



Indirect method statement of cash flows ("reformulated")

Operating profit before depreciation and amortisation (EBITDA)	3.740
Change in NOWC (trade receivables, inventory, trade payables)	(1.190)
Income taxes paid	(900)
Operating Cash Flow (OCF)	1.650
Purchase of property, plant and equipment (Note B)	(350)
Proceeds from sale of equipment	20
CAPEX	(330)

OPERATING FREE CASH FLOW	1.320
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Other non operating cash flows:

Acquisition of Subsidiary X, net of cash acquired (Note A)	(550)
Interest received	200
Dividends received	200
Proceeds from issue of share capital	250
Proceeds from long-term borrowings	250
Payment of lease liabilities	(90)
Interest paid	(270)
Dividends paid	(1.200)

OTHER NON OPERATING CASH FLOWS	(1.210)
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Net increase (decrease) in cash and cash equivalents	110
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Cash and cash equivalents at beginning of period (Note C)	120
Cash and cash equivalents at end of period (Note C)	230

Indirect method statement of cash flows ("reformulated")

Operating profit before depreciation and amortisation (EBITDA)	3.740
Change in NOWC (trade receivables, inventory, trade payables)	(1.190)
Income taxes paid	(900)
Operating Cash Flow (OCF)	1.650
Purchase of property, plant and equipment (Note B)	(350)
Proceeds from sale of equipment	20
CAPEX	(330)

OPERATING FREE CASH FLOW	1.320
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Other non operating cash flows:

Acquisition of Subsidiary X, net of cash acquired (Note A)	(550)
Interest received	200
Dividends received	200
Proceeds from issue of share capital	250
Dividends paid	(1.200)

OTHER NON OPERATING CASH FLOWS	(1.100)
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Net decrease (increase) in net financial position	220
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Indirect method statement of cash flows ("reformulated")

Operating profit before depreciation and amortisation (EBITDA)	3.740
Change in NOWC (trade receivables, inventory, trade payables)	(1.190)
Income taxes paid	(900)
Operating Cash Flow (OCF)	1.650
Purchase of property, plant and equipment (Note B)	(350)
Proceeds from sale of equipment	20
CAPEX	(330)

OPERATING FREE CASH FLOW **1.320**

Other non operating cash flows:

Acquisition of Subsidiary X, net of cash acquired (Note A)	(550)
Interest received	200
Dividends received	200
Proceeds from issue of share capital	250
Dividends paid	(1.200)
OTHER NON OPERATING CASH FLOWS	(1.100)
Net decrease (increase) in net financial position	220

Reconciliation of the change in NFP:

Beginning NFP	980
Cash Flow	(220)
Long-term debt from acquisition	200
Long-term debt from lease	900
Interest expense	400
Cash from acquisition	40
Ending NFP	2.300

Net Financial Position:	20X2	20X1	Change	Cash	Acquis.	Lease	Int. Exp.	FX diff.
Long-term debt	2.300	1.040	1.260	160	200	900		
Interest payable	230	100	130	(270)			400	
Cash and cash equivalents	(230)	(160)	(70)	(110)				40
	2.300	980	1.320	(220)	200	900	400	40





Consolidated statement of cash flows

		Year ended December 31	
		2024	2025
(in € millions)			
		Notes	
	NET INCOME		2,100
1	Share of profit of equity-accounted companies, net of dividends received	5.4	(7)
1	Depreciation, amortization and impairment of property, plant and equipment and intangible assets	6.2, 6.5, 10.3	1,168
3	Net change in other provisions and liabilities	15.2, 15.3	(21)
3	Change in deferred taxes	9.2	61
2	(Gains) losses on disposal of property, plant and equipment and financial investments		(225)
1	Expense related to share-based payments and Company Savings Plans	8.4, 8.5	71
3	Cost of net financial debt	11.7	196
	Net interest paid		(167)
	Net change in interest income and expense		29
1	Other items with no cash impact		122
	CASH FLOWS PROVIDED BY OPERATING ACTIVITIES, BEFORE CHANGES IN NET WORKING CAPITAL		3,297
3	(Increase) decrease in inventories		50
	(Increase) decrease in trade receivables		(7)
	Increase (decrease) in trade payables		353
	Change in other receivables and payables		137
	Change in working capital requirements	6.4	534
	CASH FLOWS PROVIDED BY OPERATING ACTIVITIES		3,831

1 Non-monetary items

2 Classifications to other sections

3 Change of assets / liabilities related to the monetary income



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